

news than good.

- We get a greater thrill from the anticipation of a reward than the actual reward itself. (Think what this means in terms of *buy the rumor, sell the news*.)
- We seek stimulus for a dopamine high, regardless of how. Whether you are a gambler, alcoholic, sex addict, shopaholic, or hyper-active trader—it's a very similar chemical buzz.
- Storytelling is how we evolved to share information, making us vulnerable to anecdotes that mislead or present false conclusions unsupported by data.

We are simply not wired to perform the risk analysis required for allocating capital and managing investment risk. As a species, we are much better suited to wandering the countryside in small groups of hunter-gatherers than we are at being money managers.

These cognitive foibles affect everyone and significantly impact our decision-making, whether we are aware of them or not. We cannot avoid these inherited shortfalls; it's how we are built. But if we at least become aware of these processing issues, we have some hope of avoiding their most pernicious impact...



All of these cognitive errors only prove that you're only human; here's how that hurts your portfolio.